

Japan Exchange Group, Inc. and Consolidated Subsidiaries

Consolidated financial results for the year ended March 31, 2013, unaudited

Company name: **Japan Exchange Group, Inc.**
 Code number: 8697 URL: <http://www.jpx.co.jp/en/index.html>
 Stock Exchange Listings: Tokyo, Osaka
 Representative: Atsushi Saito, Director & Representative Executive Officer, Group CEO
 Contact: Akira Tagaya, Director, Corporate Communications
 Scheduled date of annual general shareholders meeting: June 18, 2013
 Scheduled date of start of dividend payment: May 29, 2013
 Scheduled date of filing of annual securities report: June 11, 2013
 Preparation of earnings presentation material: Yes
 Holding of earnings announcement: Yes (For institutional investors and analysts)

1. Consolidated Financial Results for the year ended March 31, 2013 (April 1, 2012 to March 31, 2013)

(Figures less than a million yen are discarded)

(1) Operating results

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income	
	million yen	%	million yen	%	million yen	%	million yen	%
Year ended March 31, 2013	71,708	—	19,555	—	21,631	—	10,941	—
Year ended March 31, 2012	—	—	—	—	—	—	—	—

(Note)

Comprehensive income:

Year ended March 31, 2013: ¥ 15,550 million / — % Year ended March 31, 2012: ¥ — million / — %

	Net income per share	Diluted net income per share	Return on equity	Ratio of ordinary income to total assets	Ratio of operating income to operating revenue
	yen	yen	%	%	%
Year ended March 31, 2013	*322.93	—	6.2	1.7	27.3
Year ended March 31, 2012	—	—	—	—	—

(Reference)

Equity in earnings of affiliated companies:

Year ended March 31, 2013: ¥ 395 million / — % Year ended March 31, 2012: ¥ — million / — %

*Net income per share is calculated based on the average number of shares outstanding (33,881,156 shares) during the period from April 1, 2012 to March 31, 2013, which includes the period before the business combination. Based on the average number of shares outstanding (54,906,910 shares) during the period after the business combination from January 1, 2013 to March 31, 2013, the net income per share will be 199.27 yen.

(2) Financial position

	Total assets	Total net assets	Equity capital ratio	Net assets per share
	million yen	million yen	%	yen
As of March 31, 2013	1,276,386	179,077	13.8	3,215.06
As of March 31, 2012	—	—	—	—

(Reference)

Shareholders' equity:

As of March 31, 2013: ¥ 176,529 million

As of March 31, 2012: ¥ — million

(3) Cash flows

	Net cash provided by (used in) operating activities	Net cash provided by (used in) investing activities	Net cash provided by (used in) financing activities	Cash and cash equivalents at the end of period
	million yen	million yen	million yen	million yen
Year ended March 31, 2013	23,928	(109,659)	87,248	29,308
Year ended March 31, 2012	—	—	—	—

2. Dividends

	Dividends per share					Total cash dividends	Dividends payout ratio	Ratio of dividends to net assets
	First quarter	Second quarter	Third quarter	Fiscal year end	Annual			
	yen	yen	yen	yen	yen	million yen	%	%
Year ended March 31, 2012	—	—	—	—	—	—	—	—
Year ended March 31, 2013	—	—	—	80.00	80.00	4,392	*24.8	2.5
Year ending March 31, 2014 (Forecast)	—	45.00	—	50.00	95.00		40.1	

*Dividends payout ratio is calculated based on the average number of shares outstanding (33,881,156 shares) during the period from April 1, 2012 to March 31, 2013, which includes the period before the business combination. Based on the average number of shares outstanding (54,906,910 shares) during the period after the business combination from January 1, 2013 to March 31, 2013, the dividends payout ratio will be 40.1 %.

3. Forecast for the Fiscal Year ending March 31, 2014 (April 1, 2013 to March 31, 2014)

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income		Net income per share
	million yen	%	million yen	%	million yen	%	million yen	%	yen
For six months ending September 30, 2013	43,500	—	11,500	—	12,000	—	6,500	—	118.38
For Year ending March 31, 2014	87,000	21.3	23,000	17.6	24,000	10.9	13,000	18.8	236.76

* Notes

(1) Changes in significant subsidiaries during the period (Changes in specified subsidiaries that caused changes in the scope of consolidation): Yes

Newly included:

1 company (company name) Osaka Securities Exchange Co., Ltd.

(2) Changes in accounting policies / changes in accounting estimates / restatements

1) Changes pursuant to revision of accounting policies: None

2) Changes other than the above: Yes

3) Changes in accounting estimates: Yes

4) Restatements: None

(3) Number of issued shares (common stock)

1) Number of issued shares at the end of the period (including treasury shares):

As of March 31, 2013: 54,906,910 shares

As of March 31, 2012: — shares

2) Number of treasury shares at the end of period:

As of March 31, 2013: — shares

As of March 31, 2012: — shares

3) Average number of shares:

Twelve months ended March 31, 2013: 33,881,156 shares

Twelve months ended March 31, 2012: — shares

(Reference) Overview of non-consolidated financial results

Non- Consolidated Financial Results for the year ended March 31, 2013

(1) Operating results

(Percentages indicate year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income	
	million yen	%	million yen	%	million yen	%	million yen	%
Year ended March 31, 2013	18,643	—	5,612	—	6,358	—	3,637	—
Year ended March 31, 2012	22,494	(2.1)	8,323	9.8	9,177	8.6	5,466	(40.3)

	Net income per share	Diluted net income per share
	yen	yen
Year ended March 31, 2013	107.35	—
Year ended March 31, 2012	20,244.60	—

(2) Financial position

	Total assets	Total net assets	Equity capital ratio	Net assets per share
	million yen	million yen	%	yen
As of March 31, 2013	193,658	83,714	43.2	1,524.65
As of March 31, 2012	453,203	55,485	12.2	205,502.46

(Reference)

Shareholders' equity:

As of March 31, 2013: ¥ 83,714 million

As of March 31, 2012: ¥ 55,485 million

*Disclosure regarding implementation status for auditing procedures

This release is outside the scope of the external auditor's review procedure which is required by the Financial Instruments and Exchange Act. Therefore, the review process has not been completed as of this disclosure in this release.

*Explanation of appropriate use of forecast and other special items

This material contains earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

*Note to Consolidated Financial Results

Tokyo Stock Exchange Group, Inc. acquired shares of Osaka Securities Exchange Co., Ltd. (hereinafter "the former OSE") through a tender offer, and the former OSE became a consolidated subsidiary. Subsequently, a business combination of the two companies was conducted, through which Japan Exchange Group, Inc. (hereinafter "the Company" or "JPX") was established.

The consolidated results of JPX group during the fiscal year ended March 31, 2013 do not include the profit/loss of the former OSE for the six months from April 1, 2012 to September 30, 2012.

In addition, clearing deposit money, etc. based on various rules which secure the safety of securities trading, etc. are recorded as the JPX group's assets and liabilities. Clearing deposit money, etc. are large in amount and fluctuate daily and, as a result, the above amounts are significantly impacted by such fluctuations. For the JPX group's financial conditions excluding clearing deposit money, etc., please refer to P.2 of the appendix "1. QUALITATIVE INFORMATION ON OPERATING RESULTS and FINANCIAL POSITION,(2) Qualitative Information on Consolidated Financial Position".

*Note to Non-Consolidated Financial Results

The financial results for the preceding fiscal year state those of the former OSE. Additionally, results for the current fiscal year state the total of the former OSE results for the nine months from April 1, 2012 to December 31, 2012 and JPX results during the fourth quarter (from January 1, 2013 to March 31, 2013). As such, the percentage of change from the previous fiscal year for the fiscal year ended March 31, 2013 has been omitted.

(Appendix)

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1. QUALITATIVE INFORMATION ON OPERATING RESULTS and FINANCIAL POSITION

(1) Qualitative Information on Consolidated Operating Results

Tokyo Stock Exchange Group, Inc. (hereinafter "the former TSE Group") acquired shares of Osaka Securities Exchange Co., Ltd. (hereinafter "the former OSE") through a tender offer, and the former OSE became a consolidated subsidiary. Subsequently, on January 1, 2013, a business combination was conducted between the two parties through which Japan Exchange Group, Inc. (hereinafter "the Company" or "JPX") was established.

Due to said business combination, in accordance with the Accounting Standards for Business Combinations, the consolidated financial statements of the former TSE Group shall be incorporated into the consolidated financial statements of the Company. As such, this earnings report contains the total of the consolidated results of the former TSE Group during the consolidated cumulative third quarter (meaning the nine months from April 1, 2012 to December 31, 2012) and the consolidated results of the Company during fourth quarter (meaning the three months from January 1, 2013 to March 31, 2013).

In addition, due to the deemed date of acquisition of the former OSE by the former TSE Group being September 30, 2012, the consolidated results of the JPX group during the fiscal year ended March 31, 2013 do not include the profit/loss of the former OSE for the six months from April 1, 2012 to September 30, 2012.

The consolidated results of the JPX group during the fiscal year ended March 31, 2013 were operating revenue of ¥71,708 million, operating expenses of ¥52,152 million, operating income of ¥19,555 million, and ordinary income of ¥21,631 million.

Due to including impairment losses on assets held by a subsidiary and financial advisor compensation in relation to the business combination, etc. as extraordinary losses, income before income taxes and minority interest was ¥19,404 million, and net income was ¥10,941 million.

(2) Qualitative Information on Consolidated Financial Position

(Assets, liabilities and equity)

Clearing deposit money, etc. (margin funds for derivatives and when-issued transactions, deposits for clearing funds, and deposits as collateral for facilitating settlement), legal guarantee funds, deposits received as trading participant security money, and default compensation reserve funds, all of which are aimed at securing the safety of securities trading, etc. based on various rules, are recorded as assets and liabilities. Out of these assets and liabilities, clearing deposit money, etc. is large in amount and fluctuates daily in line with clearing participants' positions and stock price movements, and, as a result, the amounts of the JPX group's assets and liabilities are significantly impacted by fluctuations in these clearing funds, etc.

Total assets as of the end of the consolidated accounting period (March 31, 2013) were ¥1,276,386 million. Excluding clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds, assets were ¥287,548 million.

Total liabilities as of the end of the consolidated accounting period (March 31, 2013) were ¥1,097,308 million. Excluding clearing deposit money, etc., legal guarantee funds, and deposits received as trading participant security money, liabilities were ¥133,250 million.

Total net assets as of the end of the consolidated accounting period (March 31, 2013) were ¥179,077 million. Excluding default compensation reserve funds, total net assets were ¥151,129 million.

<Reference>

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of March 31, 2013	1,276,386	179,077	13.8
	*1) 287,548	*2) 151,129	*3) 51.7

(Notes)

- 1) Figures marked “*1)” under “Total assets” exclude clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds (hereinafter collectively “specified assets”).
- 2) Figures marked “*2)” under “Total net assets” exclude default compensation reserve funds.
- 3) Figures marked “*3)” under “Equity capital ratio” are calculated excluding specified assets from total assets, and excluding default compensation reserve funds from total net assets.

(Cash flow)

During the fiscal year ended March 31, 2013, cash and cash equivalents were ¥29,308 million.

1) Cash flow in operating activities

There was cash inflow of ¥23,928 million from operating activities mainly as a result of adding ¥11,523 million in depreciation to and subtracting ¥7,321 million in income taxes paid from ¥19,404 million in income before income taxes and minority interests.

2) Cash flow in investing activities

There was cash outflow of ¥109,659 million from investing activities mainly due to ¥81,621 million in expenditure for acquisition of subsidiary shares and payments into time deposit surpassing its proceeds by ¥25.4 billion.

3) Cash flow in financing activities

There was cash inflow of ¥87,248 million from financing activities mainly due to proceeds from long-term loans payable of ¥86,399 million.

<Reference> Cash flow-related indicators

	Year ended March 31, 2013
Equity capital ratio (%)	13.8%
	*51.7%
Ratio of interest-bearing debt to cash flow	439.1%
Interest coverage ratio	215.8

Equity capital ratio: shareholders' equity / total assets

Ratio of interest-bearing debt to cash flow: interest-bearing debt / operating cash flow

Interest coverage ratio: operating cash flow / interest payment

(Note)

Figures marked “*” under “Equity capital ratio” are calculated excluding margin funds for derivatives and when-issued transactions, deposits for clearing funds, deposits as collateral for facilitating settlement, legal guarantee funds and default compensation reserve funds from total assets, and excluding default compensation reserve funds from total net assets.

(3) Qualitative Information on Consolidated Earnings Forecast and Dividends Forecast

(i) Consolidated Earnings Forecast

This consolidated earnings forecast is based on the assumptions that the average daily trading values and volumes are ¥1.6 trillion for stocks*, 40,000 contracts for 10-year JGB futures, 81,000 contracts for TOPIX futures, 177,000 contracts for Nikkei 225 futures (including mini contract trading volume converted to large-sized contracts), and ¥32.0 billion for Nikkei 225 options. Based on the assumptions, ¥87.0 billion for operating revenue, ¥23.0 billion for operating income, ¥24.0 for ordinary income, and ¥13.0 billion for net income are expected.

*The trading value of stocks listed on the First Section, the Second Section, and Mothers markets of Tokyo Stock Exchange, as well as the First Section, the Second Section, and JASDAQ markets of OSE.

(ii) Dividends Forecast

The dividends payout ratio of Japan Exchange Group, Inc. is targeted at approximately 40% based on our policy of stable and continuous dividends payment, giving due consideration to the importance of internal reserves for system development aimed at enhancing competitiveness and self-regulatory functions as an exchange, and for provision against risks as a clearing organization.

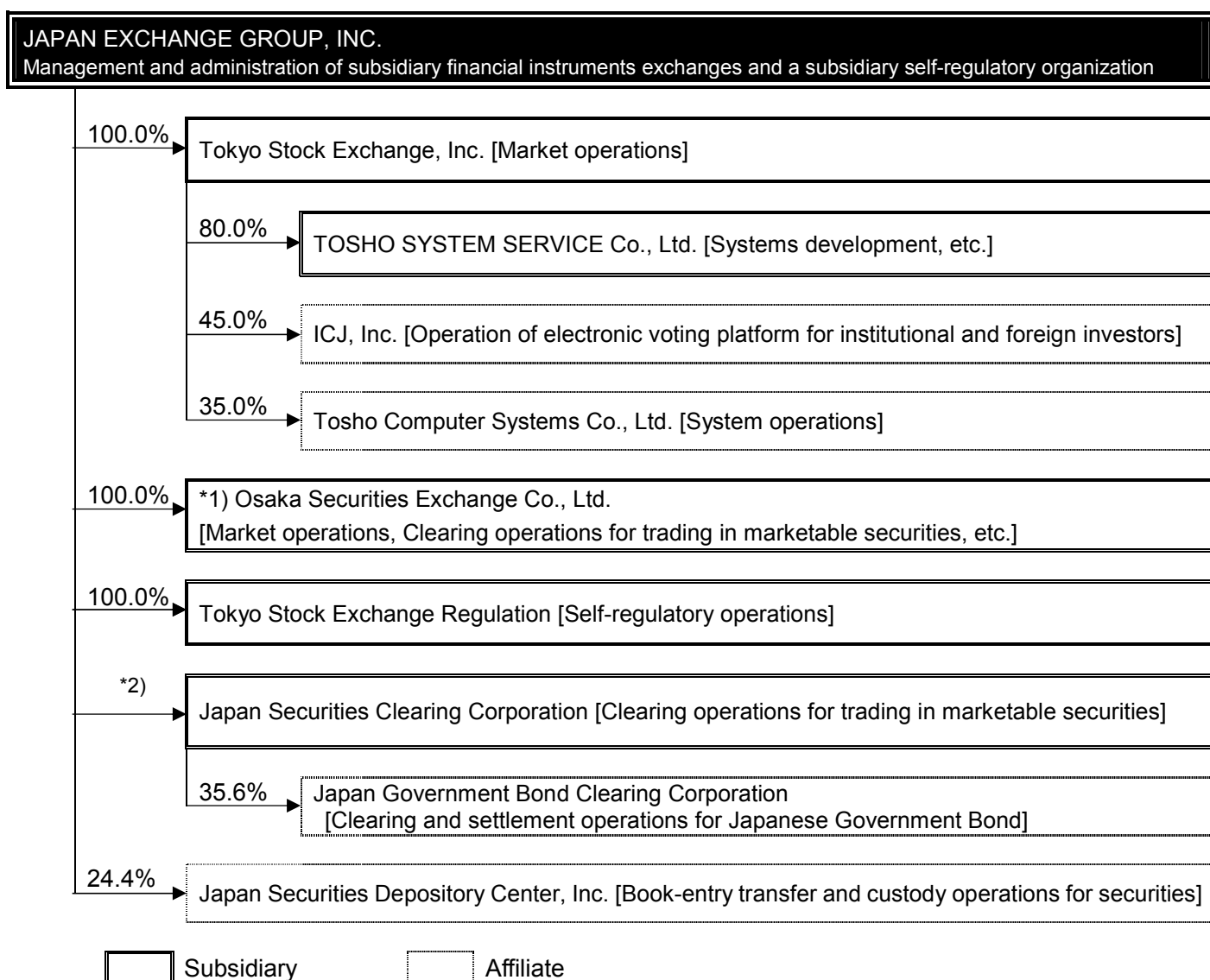
In line with the abovementioned policy, the dividends for the fiscal year ending March 31, 2014 is planned to be 95 yen per share (45 yen per share as of the end of the second quarter).

2. INFORMATION REGARDING CORPORATE GROUP

JPX's operations are management and administration of subsidiary financial instruments exchanges and a subsidiary self-regulatory organization.

JPX group comprises five subsidiaries and four affiliates, and its primary operations are the development and operation of markets for exchange-traded financial instruments. Specifically, these includes operations such as (i) providing market facilities for securities trading, securities index futures trading, and securities options trading, (ii) publicizing market quotations and ensuring fairness of securities trading, and (iii) providing financial instruments obligation assumption services.

An outline of the JPX group is shown below.



(As of March 31, 2013)

* Percentages indicate share of ownership.

*1) On January 1, 2013, New Osaka Securities Exchange Preparatory Corporation succeeded the financial instruments exchange business from the former OSE in a company split. On the same day, New Osaka Securities Exchange Preparatory Corporation changed its name to Osaka Securities Exchange Co., Ltd.

*2) Class A shares: 99.3% / Class B shares: 100.0% / Class C shares: 58.2%

3. MANAGEMENT POLICIES

Please refer to the “Medium - Term Management Plan for FY2013 to FY2015” published on March 26, 2013.

4. CONSOLIDATED FINANCIAL STATEMENTS

(1) Consolidated Balance Sheets

(millions of yen)

As of March 31, 2013

Assets	
Current assets	
Cash and deposits	120,808
Operating accounts receivable	8,716
Work in process	2,467
Deferred tax assets	1,282
Margin funds for derivatives and when-issued transactions	789,201
Deposits for clearing funds	161,086
Deposits as collateral for facilitating settlement	10,000
Other	1,912
Allowance for doubtful accounts	(9)
Total current assets	1,095,466
Noncurrent assets	
Property, plant and equipment	
Buildings and structures	9,207
Accumulated depreciation	(6,681)
Buildings and structures, net	2,525
Land	1,587
Other	19,776
Accumulated depreciation	(15,216)
Other, net	4,560
Total property, plant and equipment	8,673
Intangible assets	
Goodwill	67,374
Other	23,370
Total intangible assets	90,744
Investments and other assets	
Investment securities	41,304
Long-term loans receivable	37
Deferred tax assets	2,682
Legal guarantee funds	600
Special assets for default compensation reserve funds	27,948
Other	9,105
Allowance for doubtful accounts	(177)
Total investments and other assets	81,501
Total noncurrent assets	180,919
Total assets	1,276,386

(millions of yen)

As of March 31, 2013

Liabilities	
Current liabilities	
Operating accounts payable	3,221
Short-term loans payable	18,670
Current portion of long-term loans payable	86,399
Income taxes payable	6,312
Provision for bonuses	1,223
Provision for directors' bonuses	252
Margin funds received for derivatives and when-issued transactions	789,201
Deposits received for clearing funds	161,086
Deposits received as collateral for facilitating settlement	10,000
Deposits received as trading participant security money	3,169
Other	3,620
Total current liabilities	1,083,157
Noncurrent liabilities	
Deferred tax liabilities	5,047
Provision for retirement benefits	7,580
Returnable legal guarantee funds	600
Other	922
Total noncurrent liabilities	14,151
Total liabilities	1,097,308
Net assets	
Shareholders' equity	
Capital stock	11,500
Capital surplus	59,726
Retained earnings	96,213
Total shareholders' equity	167,440
Accumulated other comprehensive income	
Valuation difference on available-for-sale securities	9,088
Total accumulated other comprehensive income	9,088
Minority interests	2,548
Total net assets	179,077
Total liabilities and net assets	1,276,386

(2) Consolidated Statements of Income
and Consolidated Statements of Comprehensive Income

(Consolidated Statements of Income)

(millions of yen)

	Financial year ended March 31, 2013
Operating revenue	
Trading participant fees	29,868
Listing fees	9,216
Income from information services	12,828
Income from securities settlement	10,916
Other	8,879
Total operating revenue	71,708
Operating expenses	
Personal expenses	12,945
Rent expenses on real estates	5,842
System maintenance & operation costs	8,699
Depreciation	11,275
Other	13,389
Total operating expenses	52,152
Operating income	19,555
Non-operating income	
Interest income	306
Dividends income	949
Equity in earnings of affiliates	395
Trading participant penalty	316
Other	288
Total non-operating income	2,255
Non-operating expenses	
Interest expenses	110
Office transfer related expenses	44
Other	24
Total non-operating expenses	180
Ordinary income	21,631
Extraordinary loss	
Impairment loss	1,554
Business consolidation costs	673
Total extraordinary losses	2,227
Income before income taxes and minority interests	19,404
Income taxes-current	8,640
Income taxes-deferred	(571)
Total income taxes	8,068
Income before minority interests	11,336
Minority interests in income	394
Net income	10,941

(Consolidated Statements of Comprehensive Income)

(millions of yen)

Financial year ended
March 31, 2013

Income before minority interests	11,336
Other comprehensive income	
Valuation difference on available-for-sale securities	4,214
Share of other comprehensive income of associates accounted for using equity method	0
Total other comprehensive income	4,214
Comprehensive income	15,550
Comprehensive income attributable to	
Comprehensive income attributable to owners of the parent	15,156
Comprehensive income attributable to minority interests	394

(3) Consolidated Statements of Change in Equity

(millions of yen)

As of march 31,2013

Shareholders' equity	
Capital stock	
Balance at the beginning of current period	11,500
Changes of items during the period	
Total changes of items during the period	—
Balance at the end of current period	11,500
Capital surplus	
Balance at the beginning of current period	25,358
Changes of items during the period	
Increase by merger	34,367
Total changes of items during the period	34,367
Balance at the end of current period	59,726
Retained earnings	
Balance at the beginning of current period	87,205
Changes of items during the period	
Dividends from surplus	(1,932)
Net income	10,941
Total changes of items during the period	9,008
Balance at the end of current period	96,213
Treasury stock	
Balance at the beginning of current period	(4,332)
Changes of items during the period	
Increase by merger	4,332
Total changes of items during the period	4,332
Balance at the end of current period	—
Total shareholders' equity	
Balance at the beginning of current period	119,731
Changes of items during the period	
Dividends from surplus	(1,932)
Net income	10,941
Increase by merger	38,700
Total changes of items during the period	47,708
Balance at the end of current period	167,440
Accumulated other comprehensive income	
Valuation difference on available-for-sale securities	
Balance at the beginning of current period	4,873
Changes of items during the period	
Net changes of items other than shareholders' equity	4,214
Total changes of items during the period	4,214
Balance at the end of current period	9,088
Total accumulated other comprehensive income	
Balance at the beginning of current period	4,873
Changes of items during the period	
Net changes of items other than shareholders' equity	4,214
Total changes of items during the period	4,214
Balance at the end of current period	9,088

(millions of yen)

As of march 31,2013

Minority interests	
Balance at the beginning of current period	2,516
Changes of items during the period	
Net changes of items other than shareholders' equity	31
Total changes of items during the period	31
Balance at the end of current period	2,548
Total net assets	
Balance at the beginning of current period	127,122
Changes of items during the period	
Dividends from surplus	(1,932)
Net income	10,941
Increase by merger	38,700
Net changes of items other than shareholders' equity	4,246
Total changes of items during the period	51,955
Balance at the end of current period	179,077

(4) Consolidated Statements of Cash Flows

(millions of yen)

Financial year ended
March 31, 2013

Net cash provided by (used in) operating activities	
Income before income taxes and minority interests	19,404
Depreciation and amortization	11,523
Impairment loss	1,554
Amortization of goodwill	1,474
Increase (decrease) in allowance for doubtful accounts	(23)
Increase (decrease) in provision for bonuses	87
Increase (decrease) in provision for directors' bonuses	55
Increase (decrease) in provision for retirement benefits	210
Interest and dividends income	(1,256)
Interest expenses	110
Equity in (earnings) losses of affiliates	(395)
Decrease (increase) in operating receivables	(2,755)
Decrease (increase) in inventories	(1,153)
Increase (decrease) in operating debt	25
Other, net	1,075
Subtotal	29,936
Interest and dividends income received	1,420
Interest expenses paid	(108)
Income taxes paid	(7,321)
Net cash provided by (used in) operating activities	23,928
Net cash provided by (used in) investing activities	
Payments into time deposits	(121,300)
Proceeds from withdrawal of time deposits	95,900
Proceeds from redemption of securities	1,011
Purchase of property, plant and equipment	(994)
Purchase of intangible assets	(5,583)
Purchase of investment securities	(135)
Purchase of investments in subsidiaries resulting in change in scope of consolidation	(81,621)
Proceeds from withdrawal of long-term deposits	3,000
Other, net	64
Net cash provided by (used in) investing activities	(109,659)
Net cash provided by (used in) financing activities	
Increase in short-term loans payable	18,670
Decrease in short-term loans payable	(17,570)
Proceeds from long-term loans payable	86,399
Cash dividends paid	(1,932)
Cash dividends paid to minority shareholders	(407)
Proceeds from stock issuance to minority	2,090
Other, net	(0)
Net cash provided by (used in) financing activities	87,248
Effect of exchange rate change on cash and cash equivalents	11
Net increase (decrease) in cash and cash equivalents	1,529
Cash and cash equivalents at beginning of period	27,779
Cash and cash equivalents at end of period	29,308

(5)Notes

(Note on Going-concern Assumption)

Not applicable

(Changes in Accounting Estimates)

In the consolidated fiscal year ended March 31, 2013, Osaka Securities Exchange Co., Ltd., a consolidated subsidiary, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to migrate to the new system.

Due to this review, operating income, ordinary income and income before income taxes and minority interests decreased ¥107 million respectively during the consolidated fiscal year in comparison with those calculated by the previous method.

(Additional information)

In the consolidated fiscal year, Japan Securities Depository Center, Inc., an affiliated company of the former TSE Group, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to activate the new system.

In the consolidated fiscal year, Tokyo Stock Exchange, Inc., a consolidated subsidiary of the former TSE Group, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to migrate to the new system.

Due to these reviews, operating income decreased by ¥546 million and ordinary income and income before income taxes and minority interests decreased by ¥634 million during the consolidated fiscal year in comparison with those calculated by the previous method.

(Segment Information, etc.)

a. Segment information

The JPX group is engaged in financial instruments exchange business, which is its only business segment. Accordingly, the presentation of information by business segment has been omitted.

b. Related information

1. Products and services

This information has been omitted due to its inclusion in "4. CONSOLIDATED FINANCIAL STATEMENTS:

(2) Consolidated Statements of Income and Consolidated Statements of Comprehensive Income- (Consolidated Statements of Income) ”.

2. Geographic location

(1) Operating income

This information has been omitted due to the operating income gained from customers in Japan outside the corporate group surpassing 90% of such income in the Consolidated Statements of Income.

(2) Property, plant and equipment

This information has been omitted due to the value of property, plant and equipment in Japan surpassing 90% of such assets in the Consolidated Balance Sheet.

3. Major customers by reporting segment

This information has been omitted due to operating income from specified customers out of operating income gained from customers outside the corporate group being less than 10% of operating income in the Consolidated Statements of Income.

c. Impairment loss of non-current assets by reporting segment

This information has been omitted because the JPX group is engaged in single-unit business.

d. Amortization of goodwill and unamortized balance of goodwill by reporting segment

This information has been omitted because the JPX group is engaged in single-unit business.

e. Gain on negative goodwill by reporting segment

Not applicable

(Per Share Information)

	Fiscal year ended March 31,2013
Net assets per share	¥3,215.06
Net income per share	¥322.93

(Notes)

1. Diluted net income per share is not shown due to the fact that no residual securities exist.
2. The Company conducted a 100-for-1 stock split on January 1,2013. The amounts for net assets per share and net income per share were calculated based on the assumption that said stock split was conducted at the beginning of the consolidated fiscal year.
3. The basis for calculation of the net income per share is as follows:

	Fiscal year ended March 31,2013
Net income (millions of yen)	10,941
Less components not pertaining to common shareholders (millions of yen)	—
Net income pertaining to common stock (millions of yen)	10,941
Average outstanding shares of common stock (thousands of shares)	33,881

(Significant Subsequent Events)

Not applicable

<Reference> Supplementary material

The profit/loss of Tokyo Stock Exchange Group, Inc. during the fiscal year ended March 31, 2012, and the profit/loss of Japan Exchange Group, Inc. (hereinafter "the company") during the fiscal year ended March 31, 2013, are included as supplementary material.

The consolidated results of JPX during the fiscal year ended March 31, 2013 do not include the profit/loss of Osaka Securities Exchange Co., Ltd. for the six months from April 1, 2012 to September 30, 2012.

Consolidated Statements of Income of Japan Exchange Group, Inc.

	Year ended March 31, 2012	Year ended March 31, 2013	Change in amounts	Change in percentages
	millions of yen	millions of yen	millions of yen	%
Operating revenue	53,045	71,708	18,663	35.2
Trading participant fees	19,842	29,868	10,025	50.5
Listing fees	7,329	9,216	1,886	25.7
Income from information services	11,050	12,828	1,778	16.1
Income from securities settlement	6,828	10,916	4,087	59.9
Other	7,994	8,879	884	11.1
Operating expenses	43,885	52,152	8,267	18.8
Personal expenses	11,491	12,945	1,453	12.6
Rent expenses on real estates	5,338	5,842	504	9.4
System maintenance & operation costs	5,778	8,699	2,921	50.6
Depreciation	10,867	11,275	408	3.8
Other	10,410	13,389	2,979	28.6
Operating income	9,159	19,555	10,396	113.5
Non-operating income	1,813	2,255	442	24.4
Interest income	113	306	193	169.9
Dividends income	875	949	74	8.5
Equity in earnings of affiliates	392	395	2	0.6
Other	431	604	172	40.1
Non-operating expenses	69	180	110	157.6
Interest expenses	52	110	57	109.3
Other	16	69	52	309.1
Ordinary income	10,903	21,631	10,728	98.4
Extraordinary income	-	-	-	-
Extraordinary loss	6	2,227	2,220	-
Income before income taxes and minority interests	10,896	19,404	8,507	78.1
Income taxes	4,650	8,068	3,417	73.5
Minority interests in income	(66)	394	460	-
Net income	6,311	10,941	4,629	73.3

1. QUALITATIVE INFORMATION ON OPERATING RESULTS

(1) Qualitative Information on Consolidated Operating Results

The consolidated results of the JPX during the fiscal year ended March 31, 2013 were operating revenue of ¥71,708 million (35.2% increase from the same period of last year (i.e. year-on-year)), operating expenses of ¥52,152 million (18.8% increase), operating income of ¥19,555 million (113.5% increase), and ordinary income of ¥21,631 million (98.4% increase) due to including OSE as a consolidated subsidiary as well as increase in trading participant fees and income from securities settlement.

Due to including impairment losses on assets held by a subsidiary and financial advisor compensation in relation to the business combination, etc. as extraordinary losses, income before income taxes and minority interest was ¥19,404 million (78.1% increase), and net income was ¥10,941 million (73.3% increase).

<Reference>

	Year ended March 31, 2012		Year ended March 31, 2013	
		As of March 31, 2012		As of March 31, 2013
TOPIX	706.08 points ~874.34 points	854.35 points	695.51 points ~1,058.10 points	1,034.71 points
Market capitalization*	¥247,501.3 billion ~¥304,321.3 billion	¥298,358.9 billion	¥244,661.9 billion ~¥373,132.5 billion	¥365,452.2 billion
Nikkei 225	¥8,160.01 ~¥10,255.15	¥10,083.56	¥8,295.63 ~¥12,635.69	¥12,397.91

* Market capitalization of the TSE 1st Section, 2nd Section and Mothers.

(Operating revenue)

1) Trading participant fees

Due to an increase in trading participant fees comprise "Basic Fees" based on the types of the trading participant's trading qualification, "Transaction Fees" based on the value of securities traded or volume of derivatives traded, "Access Fees" based on the number of orders, and "Trading System Facilities Usage Fees" based on the types of trading system facilities used.

During the fiscal year ended March 31, 2013, trading participant fees increased 50.5% to ¥29,868 million year-on-year due to an increase in the value of securities traded or volume of derivatives traded and including OSE as a consolidated subsidiary.

Breakdown of trading participant fees

	(millions of yen)		
	Year ended March 31, 2012	Year ended March 31, 2013	Change (%)
Trading participant fees	19,842	29,868	50.5
Transaction fees	14,722	22,933	55.8
Cash equities	11,845	15,204	28.4
TSE market	11,845	13,200	11.4
OSE market	-	2,004	-
Derivatives	2,877	7,728	168.6
TOPIX futures	1,361	1,526	12.1
Nikkei 225 futures	-	2,003	-
Nikkei 225 options	-	2,210	-
10-year JGB futures	1,358	1,770	30.4
Others	157	217	38.1
Basic fees	844	1,107	31.1
Access fees	2,704	3,738	38.2
Trading system facilities Usage fees	1,545	2,019	30.7
Others	24	68	179.4

<Reference>

Equities trading value and derivatives trading volume or value

	Daily average			Total		
	Year ended March 31, 2012	Year ended March 31, 2013	Change (%)	Year ended March 31, 2012	Year ended March 31, 2013	Change (%)
【Cash equities】						
TSE 1 st Section, 2 nd Section (¥millions)	1,289,369	1,476,224	14.5	317,184,778	361,674,820	14.0
OSE 1 st Section, 2 nd Section (¥millions)	36,260	30,981	(14.6)	8,919,847	7,590,305	(14.9)
TSE Mothers (¥millions)	15,645	23,668	51.3	3,848,692	5,798,596	50.7
OSE JASDAQ (¥millions)	20,638	30,393	47.3	5,077,042	7,446,185	46.7
【Derivatives】						
TOPIX futures (contracts)	57,840	68,204	17.9	14,228,547	16,710,007	17.4
Nikkei 225 futures (contracts)	73,086	89,893	23.0	17,979,219	22,023,678	22.5
Nikkei 225 mini futures (contracts)	463,107	631,941	36.5	113,924,352	154,825,621	35.9
Nikkei 225 options (¥millions)	18,821	23,539	25.1	4,630,065	5,767,127	24.6
10-year JGB futures (contracts)	29,307	38,700	32.1	7,209,562	9,481,403	31.5

2) Listing fees

Listing fees comprise the "Initial/Additional Listing Fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, and "Annual Listing Fees" received from listed companies based on their market capitalization.

Due to an increase in the number of newly listed companies and amount of funds raised by listed companies, listing fees during the fiscal year ended March 31, 2013, increased 25.7% year-on-year to ¥9,216 million.

Breakdown of listing fees

	(millions of yen)		
	Year ended March 31, 2012	Year ended March 31, 2013	Change (%)
Listing fees	7,329	9,216	25.7
Initial/Additional listing fees	1,993	3,118	56.5
Annual listing fees	5,336	6,097	14.3

<Reference>

Number of listed companies, ETFs, ETNs and REITs

(Company)

	New listed companies			Total listed companies		
	Year ended March 31, 2012	Year ended March 31, 2013	Change	As of March 31, 2012	As of March 31, 2013	Change
【TSE market】 TSE 1 st and 2 nd Sections	36 *2) 8	44 *2) 8	8 *2) 0	2,109	2,128	19
Mothers	14 *2) 0	26 *2) 0	12 *2) 0	178	185	7
Total	50 *2) 8	70 *2) 8	20 *2) 0	2,287	2,313	26
【OSE market】 OSE 1 st and 2 nd Sections *1)	1 *2) 1	0 *2) 0	(1) *2) (1)	202	199	(3)
JASDAQ *1)	18 *2) 2	16 *2) 2	(2) *2) 0	939	905	(34)
Total	19 *2) 3	16 *2) 2	(3) *2) (1)	1,141	1,104	(37)

(Issue)

	New listed issues			Total listed issues		
	Year ended March 31, 2012	Year ended March 31, 2013	Change	As of March 31, 2012	As of March 31, 2013	Change
【TSE market】 ETFs	7	9	2	108	117	9
ETNs	10	4	(6)	10	14	4
REITs	0 *2) 0	6 *2) 0	6 *2) 0	33	39	6
【OSE market】 ETFs	1	2	1	17	19	2

(Note)

*1) Companies that are also listed on the TSE Market are excluded.

*2) Figures marked “*2)” indicate the number of newly listed companies and newly listed issues, representing companies established and issues newly listed as a result of mergers and stock transfers (technical listings).

Fund raising by listed companies

(millions of yen)

	Year ended March 31, 2012	Year ended March 31, 2013	Change (%)
【TSE market】 Financing by listed companies	1,215,119	2,182,777	79.6

(Note) Total amount of fund-raising via shareholder allotments, public offerings (including initial public offerings), third-party allotments, preferred stocks, and convertible bonds exercise and stock options.

3) Income from information services

Income from information services is comprised of income related to the provision of corporate action information and various other information, primarily consisting of fees for market information provided to information vendors (market information fees), and also income related to the index business.

During the fiscal year ended March 31, 2013, income from information services increased 16.1% year-on-year to ¥12,828 million due to including OSE as a consolidated subsidiary.

4) Income from securities settlement

Income from securities settlement is derived from settlement commissions related to the assumption of financial instrument obligations carried out by Japan Securities Clearing Corporation and OSE.

During the fiscal year ended March 31, 2013, income from securities settlement increased significantly by 59.9% year-on-year to ¥10,916 million, due to a year-on-year increase in the value of securities traded or volume of derivatives traded and new income from clearing fees derived from clearing services for yen-denominated interest rate swaps provided by Japan Securities Clearing Corporation, following the commencement of such services on October 9, 2012.

5) Other operating revenue

Other operating revenue consists of "network line usage fees", "Co-location Usage Fees", "Proximity Usage Fees", and fees for system development and operations provided by TOSHO SYSTEM SERVICE CO., LTD. "Network line usage fees" related to use of the networks which connect TSE's and OSE's trading systems, market information systems, etc. to trading participants and users. "Co-location Usage Fees" are those for using the service which allows trading participants to place their devices, etc. within the system center for the purpose of accelerating trade execution, etc. "Proximity Usage Fees" are those for using the proximity service which diversifies connectivity to domestic and foreign markets, and can be used by trading participants and market-related parties, such as information vendors.

During the fiscal year ended March 31, 2013, other operating revenue increased 11.1% year-on-year to ¥8,879 million, due to including OSE as a consolidated subsidiary.

Breakdown of other operating revenue

	Year ended March 31, 2012	(millions of yen)	
		Year ended March 31, 2013	Change (%)
Other operating revenue	7,994	8,879	11.1
Network line usage fees	2,457	3,060	24.6
Co-location Usage Fees, Proximity Usage Fees	1,287	1,855	44.1
Other	4,250	3,963	(6.8)

(Operating expenses)

Due to including OSE as a consolidated subsidiary, personal expenses during the fiscal year ended March 31, 2013, increased 12.6% year-on-year to ¥12,945 million.

Rent expenses on real estates are primarily rental fees for the building and for system development and operational facilities. Due to including OSE as a consolidated subsidiary, rent expenses on real estates during the fiscal year ended March 31, 2013, increased 9.4% year-on-year to ¥5,842 million.

System maintenance & operation costs consist of maintenance and operation costs for trading system and other systems. Due to including OSE as a consolidated subsidiary, these costs during the fiscal year ended March 31, 2013, increased 50.6% year-on-year to ¥8,699 million.

Depreciation during the fiscal year ended March 31, 2013, increased 3.8% to ¥11,275 million due to accelerated depreciation of trading system for the market integration and including OSE as a consolidated subsidiary.

Other operating expenses during the fiscal year ended March 31, 2013, increased 28.6% year-on-year to ¥13,389 million due to including ¥1,474 million as amortization of goodwill as well as inclusion of OSE as a consolidated subsidiary.

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